

CHARGE OF THE LITE BRIGADE

Taking cue from giants like Tata Steel, India's small enterprises are in hyper-acquisitive mode, buying up companies double their sizes and making a global splash

■ By Malini Bhupta

Like most entrepreneurs on the fast-track, Ramakrishna Karuturi, chairman and MD of floriculture firm Karuturi Global, is always on the move. But in spite of all the jet-setting, he is always reachable—if not on his India number, then on his Ethiopia or Kenya mobile connections. This business graduate from Ohio knew little about Africa and even less about rose cultivation before 1995, when, looking for roses for his wife on Valentine's Day, he found that the flowers were in short supply in Bangalore. Karuturi then decided to grow roses in India, starting with a small farm in nearby Dodaballarpur. He went on to become the world's largest rose producer after acquiring Ethiopia's Sher Agencies last year for \$68 million (Rs 272 crore), taking his annual production from 150 million to 685 million stems. Karuturi now has 325 hectares under cultivation, of which 100 are in Ethiopia, 185 in Kenya and 40 in India. The output in Ethiopia has grown by 100 per cent since the acquisition, and by December 2009, Karuturi Global will have 300 hectares in the country, making it thrice as big as the second-largest rose producer. "For surviving in the industry, I had to acquire in Africa. Globalisation was not a choice for me," says Karuturi, whose company is expected to close 2009 at Rs 1,000 crore.

While Karuturi relies on multiple mobile connections for his African sojourns, Mukund Choudhury of Spentex, a yarn-producing company, needs the service of two translators whenever he travels to his factories in Uzbekistan and Czechoslovakia, as his employee base includes people of five nationalities. With a factory in each of the two Uzbek cities of Tashkent and Toytepa, the total capacity of Spentex has gone up to 5.70 lakh spindles, making it the world's largest yarn manufacturer. Not a bad deal for \$81 million (Rs 324 crore), considering the tax breaks,

RAVI S. SAHAY



ANIL GUPTA, HAVELLS INDIA

ACQUIRED: Sylvania for \$300 million in 2007.

RATIONALE: Sylvania is the fourth-largest lighting company with manufacturing facilities across the world.

GLOBAL REVENUES Rs 2,700 crore



"We were looking for a company which had a good brand and for whom we could reduce the cost."